RED FLAG REPORT · PRELIMINARY FINANCIAL DUE DILIGENCE

Toyota Caetano Portugal

Published consolidated accounts FY23–FY25

Source: Relatório Anual 2025 (ESEF), consolidated statements

Preliminary: for an analyst to review. Not an opinion, not a view on price. Built with DD Assistant.

14 key issues; the largest is large 'other' working capital line, €143,131k

#	Issue	Amount at stake	Deal implication (typical)	Evidence from the notes
1	R28 · Large 'other' working capital line	€143,131k, FY25	Price: working capital / peg	Explained by note 22
2	R11 · Short-term debt concentration	€80,796k, FY23	Further diligence	Partly explained by note 2.6
3	R10 · Weak EBITDA-to-cash conversion	€50,318k, FY25	Further diligence	Open
4	R04 · Material other income within EBITDA	€40,036k, FY25	Price: EBITDA	Explained by note 33
5	R09 · Inventory build ahead of COGS	€28,149k, FY25	Price: working capital / peg	Open

Ordered by amount at stake. Materiality: 5% of reported EBITDA for earnings items; 1% of revenue for balance sheet items (€3,309k and €6,670k). The implication is the typical treatment, for the deal team and its lawyers to decide.

Revenue grew 14.2% a year over the three years; EBITDA margin was 10.5% in FY23 and 9.9% in FY25

EUR k unless stated	FY23	FY24	FY25
Revenue	511,571	658,170	666,994
Reported EBITDA	53,852	74,634	66,187
EBITDA margin	10.5%	11.3%	9.9%
Cash conversion (operating cash / EBITDA)	-23.9%	84.2%	-6.0%
Adjusted net debt	92,945	57,542	78,039
Net working capital	88,131	61,710	101,201

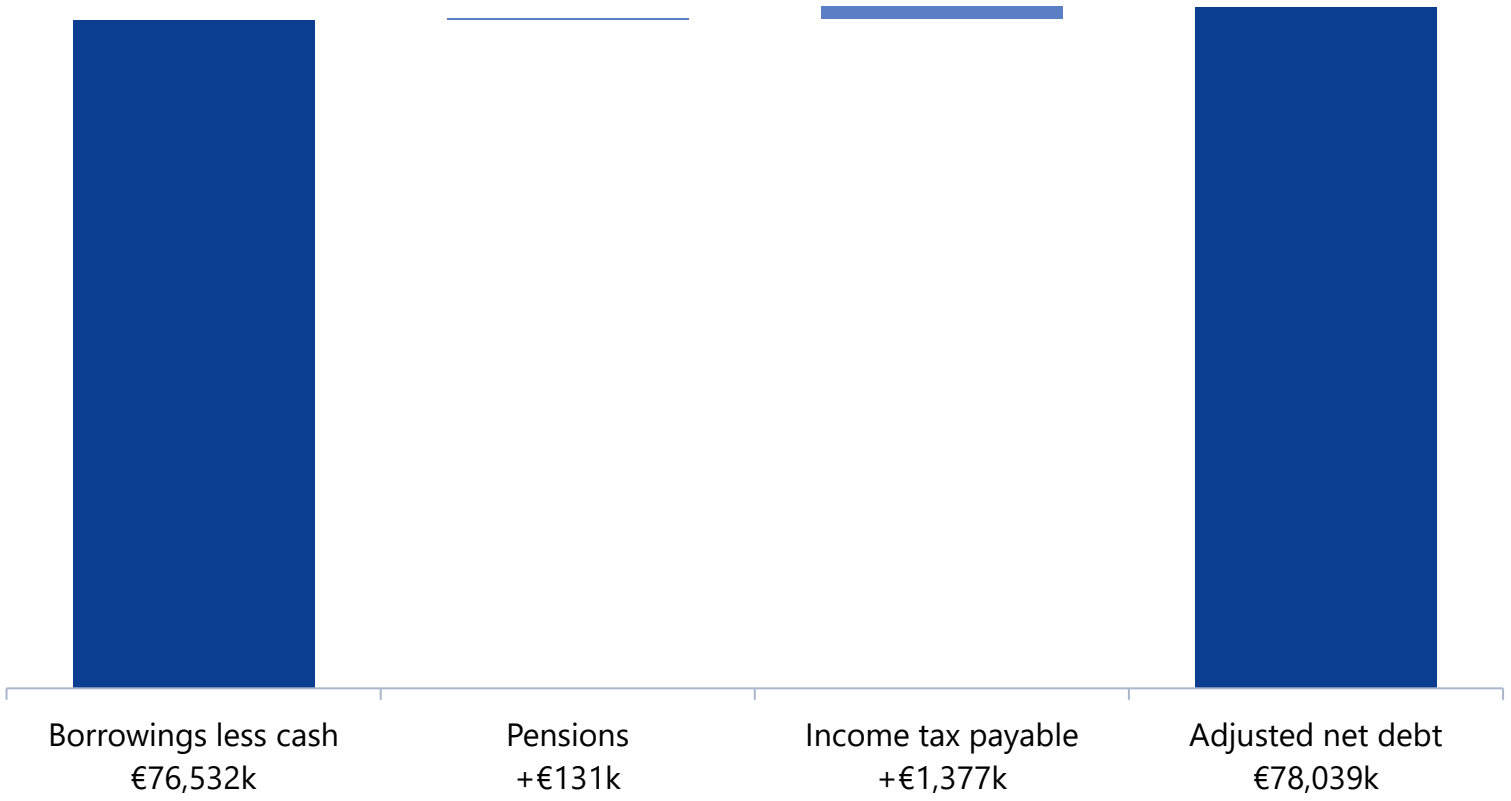
Reading checks: 3 of 3 published subtotals rebuilt from the lines read. Earlier years from the prior report; for the year both reports give, the latest comparative is used.

EBITDA is €66,187k in FY25; after lease payments it is €58,865k



FY25, EUR k. Other income is 60.5% of EBITDA (R04). Note 33 gives the other income of FY25 and ties to the statements (€40,036k); the largest lines are Recuperação de encargos com garantias e outras despesas operacionais €13,977k, Subsídios à exploração €5,142k, Mais-valias na alienação de ativos €4,862k.

Adjusted net debt is €78,039k (1.18x EBITDA), against borrowings less cash of €76,532k

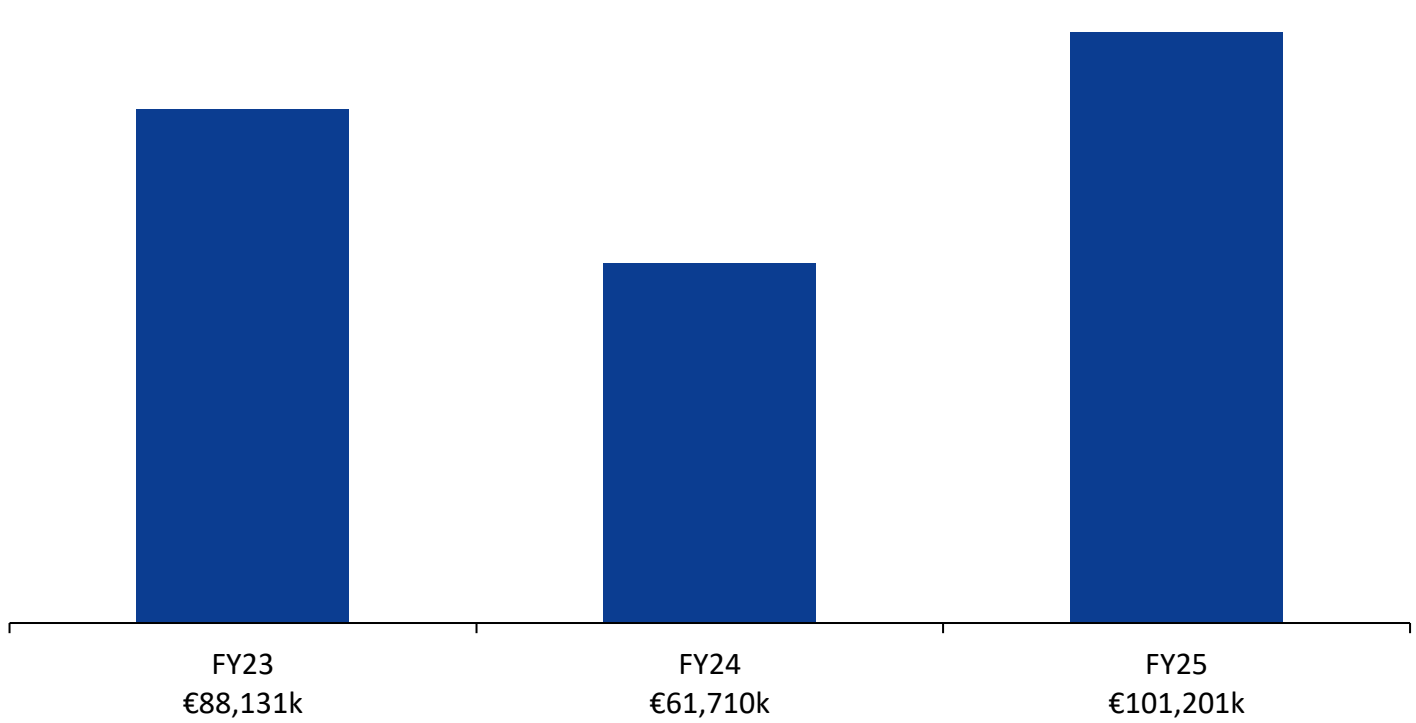


To assess (not in adjusted net debt)

Assets held for sale: €4,146k

Provisions: €3,616k (explained by note 26)

Net working capital is €101,201k, 15.2% of revenue; €17,520k above the average of the year-ends



What is inside, FY25

Inventories: €165,828k

Trade receivables: €87,048k

Trade payables: -€20,318k

Trade working capital: €232,558k

Other current assets: €11,773k

Other current liabilities: -€144,507k

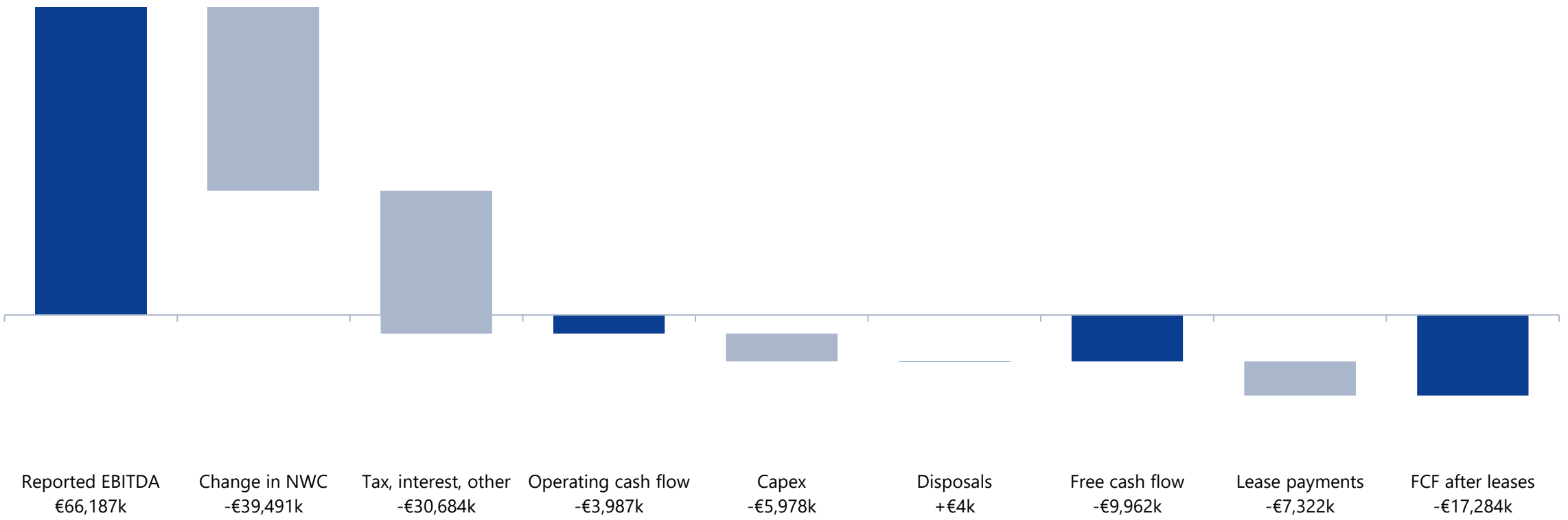
Excluded: Imposto sobre o rendimento a pagar (in net debt): €1,377k

Net working capital: €101,201k

Average of the year-ends: €83,681k (indicative peg reference only)

Year-end balances only. A peg is negotiated on 12 to 24 monthly balances.

EBITDA was €66,187k in FY25, but free cash flow was -€9,962k



FY25, EUR k. The change in working capital comes from the two balance sheets; the remainder to the published operating cash flow is shown as its own bar.

10 priority requests: the level below what the public report already answers

#	Document or analysis to request	For
1	Trial balance behind the components named in the note	R28
2	Ageing and counterparties	R28
3	Facility agreements	R11
4	Bank term sheets	R11
5	Covenant compliance certificates	R11
6	EBITDA-to-cash bridge	R10
7	Monthly working capital schedule	R10
8	Ledger of the largest components of other income named in the note	R04
9	The contracts, grant decisions or sale agreements behind them	R04
10	Inventory ageing	R09

Scope, sources and limits

Scope and sources

Consolidated accounts FY23–FY25: Relatório Anual 2025 (ESEF), consolidated statements.

Framework: IFRS as adopted by the EU (consolidated accounts; SNC is for individual accounts).

Sector: Automotive distribution & retail. Purpose: preliminary buy-side review.

Notes to the accounts read: yes (Toyota_Caetano_2025_notes.xlsx).

Reading checks: 3 of 3 passed.

Limits

Annual accounts only: no monthly figures, LTM or budget.

Euros only; financial due diligence only (no legal, tax, commercial or IT review).

A first pass for an analyst to review: no investment recommendation and no view on price.

Figures are computed by deterministic code from the published lines; each traces to its source cell.

Deal implications are typical treatments, for the deal team and its lawyers to decide.